



GREEN TECHNOLOGY

SOLAR FOR YOU!

Is it Investment Ready?

"If we are serious about moving towards energy independence in a cost-effective way, we should invest in solar energy. If we are serious about cutting air and water pollution and reducing greenhouse gas emissions, we should invest in solar energy"—Bernie Sanders

Solar energy is a definite solution to the increasing energy needs of our times. This is evident from solar rooftop installations growing at a rate of over 18 per cent in 2017. Solar power generation offers various avenues of business profitability. But, for investors, the fundamental questions remain: How can I go about it? Should I go online with

solar ecommerce platform? Should I invest in commercial rooftop model? Should I buy my own land or leverage a third-party model?

To solve the dilemma, a few distinguished solar business models in India have been explained in this article. Your choice of a model should depend on the investment required, state government's policies for solar

power generation and its commercial usage, and natural conditions of the region.

Sale-to-utility model. It refers to selling the solar power generated by you to state power authorities like NTPC.

Power purchase agreement (PPA)/ feed in tariff (FIT). An agreement is signed with the private business supplying solar power to the state/government body or DISCOM. Normally the stated period is 25 years and the prices are decided through competitive bidding and tenders. This is the most popular business model for commercial power supply usage.

GMR Infrastructure has installed a rooftop solar power plant at Delhi Airport for consumption by 'Celebi' for Cargo Terminal 2 of the airport. The plant has the capacity

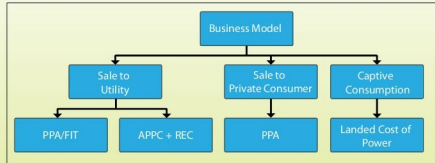


Fig. 1: Solar business models (courtesy: <http://www.solarmango.com/wp-content/uploads/2015/12/Biz-models-for-utility-scale-solar-india.png>)

